

12. *Gutierrez-Bauer v. Easy Speech Pathology, Inc., et al*, Case No. CIVSB2323318
Motion for Approval of PAGA Representative Action Settlement
5/15/26, 1:30 p.m., Dept. S-17

Tentative Ruling

The Court's tentative is to **GRANT** consistent with this tentative.

Plaintiffs counsel will submit an amended order indicating the actual amount of costs [see Supp. Derham Decl., ¶4] and omitting language regarding the reasonableness of attorney rates. (See Proposed Order, ¶1.) Further, the order should be clear that, while the gross amount is funded by Defendant [Proposed Order, 2:1], it is the *administrator* that distributes the various amounts from that gross. As currently worded, it could be interpreted to have Defendants fund the gross and then also distribute the various payments; thus resulting in duplicative payments. (See, e.g., Proposed Order, ¶2 ["Defendants shall pay \$8,000.00 for [Plaintiffs'] litigation costs and expenses."].)

Standards

Settlements under the Private Attorneys General Act (PAGA) at Labor Code sections 2698, et seq., do not require preliminary approval. The court must find, however, that the PAGA settlement is "fair, reasonable, and adequate in view of PAGA's purposes to remediate present labor law violations, deter future ones, and to maximize enforcement of state labor laws." (*Moniz v. Adecco USA, Inc.* (2021) 72 Cal.App.5th 56, 77.) The court must find that the plaintiff "has adequately represented the state's interests, and hence the public interest." (*Id.* at p. 89.) The LWDA must be notified of the settlement and be given an opportunity to object.

The Court may look to parallel class action guidelines to determine what is "fair, adequate and reasonable." (*Kullar v. Foot Locker Retail* (2008) 168 Cal.App.4th 116, 126.) In that analysis, the court has "broad discretion in making this determination." (*In re Microsoft I-V Cases* (2006) 135 Cal.App.4th 706, 723.) Relevant factors may include "the strength of the plaintiffs' case, the risk, expense, complexity and likely duration of further litigation, the risk of maintain class action status through trial, the amount offered in settlement, the extent of discovery completed and the stage of the proceedings, the experience and views of counsel, the presence of a governmental participant, and the reaction of the class members to the proposed settlement." (*Dunk v. Ford Motor Co.* (1996) 48 Cal.App.4th 1794, 1801.) This list of factors "is not exhaustive and should be tailored to each case." (*Ibid.*) The court may "engage in a balancing and weighing of factors depending on the circumstances of each case." (*Wershba v. Apple Computer, Inc.* (2001) 91 Cal.App.4th 224, 245, overruled on other grounds.)

"Although the court gives regard to what is otherwise a private consensual agreement between the parties, the court must also evaluate the proposed settlement agreement with the purpose of protecting the rights of the absent class members who will be bound by the settlement." (*Wershba, supra*, 91 Cal.App.4th at p. 245, quoting *Dunk, supra*, 48 Cal.App.4th at p. 1801.) "The court must therefore scrutinize the proposed settlement agreement to the extent

necessary to ‘reach a reasoned judgment that the agreement is not the product of fraud or overreaching by, or collusion between, the negotiating parties, and that the settlement, taken as a whole, is fair, reasonable and adequate to all concerned.’” (*Ibid.*, quoting *Officers for Justice v. Civil Service Com’n* (9th Cir. 1982) 688 F.2d 615, 625.)

The settlement is entitled to “a presumption of fairness . . . where: (1) the settlement is reached through arm’s-length bargaining; (2) investigation and discovery are sufficient to allow counsel and the court to act intelligently; (3) counsel is experienced in similar litigation; and (4) the percentage of objectors is small.” (*Kullar v. Foot Locker Retail* (2008) 168 Cal.App.4th 116, 128, quoting *Dunk v. Ford Motor Co.* (1996) 48 Cal.App.4th 1794, 1802.)

The Proposed Settlement

Here, on June 28, 2023, Plaintiff Gutierrez-Bauer originally submitted her notice letter to the Labor & Workforce Development Agency (LWDA). (Derham Decl., ¶6 & Exh. D.) After the exhaustion of administrative remedies, Plaintiff filed her Complaint that included a claim for civil penalties pursuant to the Private Attorneys General Act (PAGA) on September 19, 2023. That Complaint alleges: (1) PAGA violations related to wage-and-hour concerns ranging from minimum wages to reimbursements; (2) hostile work environment (FEHA); (3) discrimination (FEHA); (4) overtime violations; (5) minimum wage violations; (6) reimbursement violations; (7) violation of the unfair competition law; (8) violation of the rest period requirement; (9) waiting time violations; and (10) failure to provide accurate wage statements.

After commencing litigation, the parties conducted significant investigation of the facts and law and engaged in an informal discovery exchange prior to mediation, including a sample of time and pay records. (Derham Decl., Exh. A [Settlement] at ¶2.4.) The parties then attended a full-day, arms-length mediation on December 16, 2025, with Tagore Subramaniam. (Settlement, ¶2.3.) Ultimately, the parties reached a settlement in principal and later reduced the terms to writing in January of 2026. (*Ibid.*) The settlement covers all nonexempt workers employed by Defendant in California during the statutory period. (Settlement, ¶¶1.4 [Aggrieved Employee] & 1.23 [PAGA Period].) Further, the parties indicate that there are an estimated 517 such aggrieved employees. (*Id.*, ¶4.1.) They notified the LWDA on February 4, 2026. (Derham Decl., ¶7 & Exh. E.)

The settlement proposed the following terms: Defendant will pay a gross settlement amount of \$257,500.00,³ from which will be deducted (1) attorneys’ fees of \$85,824.74 (essentially 1/3rd the gross); (2) costs of \$6,582.43; and (3) claims administration fees not to exceed \$5,500.00.

Thus, net settlement would be \$159,592.83. Of that amount, 75%, or \$119,694.62, would go to the LWDA, and 25%, or \$39,898.20, would go to the aggrieved employees on a pro rata basis determined by the number of applicable pay periods worked. Notably, given the 517 aggrieved employees, the average PAGA payout to the employees would be \$77.17.

³ The Court is advised there is an Escalator Clause that could impact this figure. (Settlement, ¶7.5.)

Though very little analysis of potential liability is provided by Plaintiff's counsel's declaration, the amount of the settlement appears appropriate given the scope of the claims, apparent exposure, and the strength of plaintiff's case. Further, the settlement amount is appropriate given the risk of litigation and the risk of appeal even if Plaintiff were successful at trial.

Further, though the Court declines to opine on the appropriateness of the suggested attorneys' fees rates, the requested attorneys' fees at approximately one-third the gross appears sufficient and reasonable when viewed the lens of a multiplier sufficient to reward the risk and complexity of the instant case.

Adequate discovery and investigation has occurred. There is no evidence of fraud or collusion. PAGA counsel are well qualified to represent the class. The settlement was reached through an arms-length negotiation with the assistance of an experienced mediator.
